

THE DAILY-STOP MODEL

RISK HIERARCHY — QUALITY DETERMINES ALLOCATION

DAILY STOP = ACCOUNT SIZE ÷ 50

\$10,000 account → \$200 for the ENTIRE DAY. Not per trade. Per day.

ALLOCATE RISK TO SETUP QUALITY — NOT EVERY TRADE EARNS THE SAME SIZE

A+

80%
of daily stop

Absolute best setups. All checks align. Pattern screams opportunity.

A

30%
of daily stop

Solid confirmation. You know what you're looking for, and it's showing up.

B

15%
of daily stop

Good setup, moderate support. Worth taking — requires tighter discipline.

C

5%
of daily stop

Lower confirmation. Testing and learning. Too risky to feel like a C? It's not a C — it's a SAW trade. Zero size.

SAME SETUP, DIFFERENT CONTEXT, DIFFERENT RISK.

A SOXL mean-reversion setup in risk-off = C risk. Same setup, rotational market, strong big-cap tech = A/B risk.

**HIT YOUR DAILY STOP ONCE → NEXT DAY IS DEMO.
TWICE IN A ROW → TWO DAYS OFF.**

Not punishment. Protection. If the stop doesn't hurt, it isn't tight enough.

**STOP ASKING “CAN I RISK A HERE?”
START ASKING “SHOULD I RISK A HERE?”**

THIS IS HOW CHAMPIONS TRADE — NOT MOMENTS OF GENIUS, MOMENTS OF DISCIPLINE.

Are you protecting your capital like it matters?